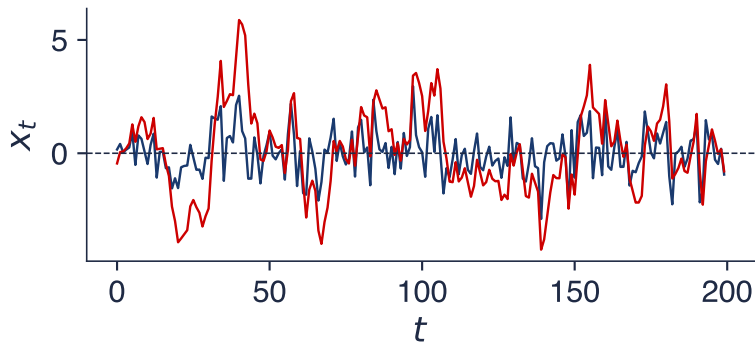


Two AR(1) paths, same shocks



— $\phi = 0$ (white noise)
 — $\phi = 0.8$
 —●— $\rho_j = (0.8)^j$
 —■— $\rho_j = (0.5)^j$
 —▲— $\rho_j = (-0.6)^j$

Autocorrelation function of AR(1)

